

**GOVERNMENT OF INDIA
MINISTRY OF CIVIL AVIATION**

RAJYA SABHA

QUESTION NO 23.12.2008

ANSWERED ON

EFFECT OF HIGH PRICE OF AVIATION FUEL .

2340

SHRI S. ANBALAGAN

Will the Minister of CIVIL AVIATION be pleased to state :-

(a) whether Government is aware that the steep increase in price of aviation fuel has resulted in fare hike by low cost airlines and consequently large scale prevention of air travel by middle class families in the country;

(b) if so, the details thereof and the reasons therefor; and

(c) the steps proposed to be taken by Government in this regard?

ANSWER

MINISTER OF STATE (INDEPENDENT CHARGE) OF THE MINISTRY OF CIVIL AVIATION

(SHRI PRAFUL PATEL)

(a) and (b):- Yes, Sir. Aviation Turbine Fuel (ATF) is a major component of operational cost of the Airlines. Airlines raised fare due to rise in prices of ATF. Passenger traffic has also been affected by the global financial downturn of the economy. The number of domestic passenger fell to 30.48 lakh in November, 2008 as compared to 38.72 lakh in November, 2007.

(c):- The Government has taken various steps to help the domestic aviation industry which inter-alia are as under: (1) Custom duty on import of ATF has been abolished. (2) The State Governments are being persuaded to reduce the sales tax on ATF. Government of Andhra Pradesh and in certain cases Government of Rajasthan have reduced the sales tax on ATF to 4%. Government of Maharashtra has also reduced sales tax on ATF from 25% to 4% for flights originating from airports other than Pune and Mumbai. (3) The Oil Companies have also staggered the settlement of outstanding dues of Airline Companies over six months. Oil Companies have also extended the credit period. (4) With the fall in global crude prices, the Oil Companies have been reducing ATF prices since September, 2008 and the prices are being revised fortnightly instead of monthly.